

Warsaw, January 20, 2023

Decision

DKE.561.31.2022

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws 2022, item 2000, as amended) in connection with Article 7 sections 1 and 2 and Article 60 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws 2019, item 1781) and based on Article 58 section 2 letter b) in connection with Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35), after conducting administrative proceedings regarding the imposition of an administrative monetary penalty on T. Sp. z o.o. based in W. at ul. (...), the President of the Personal Data Protection Office issues a reprimand to T. Sp. z o.o. based in W. at ul. (...) for violating the provisions of Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35), consisting of failing to provide the President of the Personal Data Protection Office access to personal data and information necessary to perform his tasks in the proceedings with reference number DS.523.5569.2021.

JUSTIFICATION

Factual Background

On August 31, 2021, a complaint was submitted to the Personal Data Protection Office by Mr. M. T., residing in Ł. at ul. (...) (hereinafter referred to as the "Complainant"), regarding irregularities in the processing of his personal data, consisting of the disclosure by T. Sp. z o.o. based in W. (hereinafter referred to as the "Company") of the Complainant's personal data to unauthorized entities. In connection with the above, the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") initiated explanatory proceedings with reference number DS.523.5569.2021.

As part of the aforementioned proceedings (see point 1 of the justification of this decision), the President of UODO addressed the Company – in a letter dated September 14, 2021 – with a request to respond to the following questions:

- 1) "When (please specify the exact date), on what legal basis (please indicate the specific provision(s) of law), for what purpose, and to what extent (please list the categories/types of data) did the Company obtain the Complainant's personal data;
- 2) Whether, and if so, on what legal basis (please indicate the specific provision(s) of law), for what purpose, and to what extent (please list the categories/types of data), the Company currently processes the Complainant's personal data;
- 3) Whether the Complainant's personal data has been disclosed to third parties, and if so, when, on what legal basis, for what purpose and to what extent, and to which entities this data was disclosed;
- 4) Whether the Company informed the Complainant about irregularities related to the processing of his personal data, and if so, when and what was the content of the information provided."

This request, sent to the Company's registered address, i.e., ul. (...), W., was not received by the Company and was returned to the Personal Data Protection Office (hereinafter referred to as "UODO") with the annotation "RETURNED not collected in time."

In a letter dated October 15, 2021, the President of UODO again addressed the Company with a request to respond to the aforementioned questions (see point 2 of the justification of this decision).

Furthermore, the request directed to the Company on October 15, 2021, included a notice indicating that failure to provide comprehensive explanations may result in the imposition of an administrative monetary penalty on the Company in accordance with Article 83 section 4 letter a) or Article 83 section 5 letter e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (OJ EU L 119 of May 4, 2016, p. 1, as amended) (hereinafter referred to as the "Regulation 2016/679"). This request, also sent to the Company's registered address (see point 2 of the justification of this decision), was not received by the Company and was returned to UODO with the annotation "RETURNED not collected in time."

The above factual circumstances were established by the President of UODO based on the entirety of the official correspondence conducted between the Company and the President of UODO, which is contained in the files of the proceedings with reference number DS.523.5569.2021. This correspondence reflects the entirety of attempts by the President of UODO to gain access to the information necessary to perform his tasks, that is, in this case – to consider the matter with reference number DS.523.5569.2021, and on the other hand – the Company's response to the requests of the President of UODO.

****Proceedings****

In connection with the failure of the Company to provide binding and evidential information necessary to resolve the case with reference number DS.523.5569.2021, the President of the Personal Data Protection Office (UODO) initiated, by letter dated November 24, 2022, ex officio – based on Article 83(5)(e) of Regulation 2016/679 – the present administrative proceedings with reference number DKE.561.31.2022, concerning the imposition of an administrative monetary penalty for the violation of Article 58(1)(a) and (e) of Regulation 2016/679. The Company was informed about the initiation of the proceedings by a letter dated November 24, 2022 (reference: DKE.561.31.2022), delivered to the Company on November 28, 2022. By this letter, the Company was obliged – in order to establish the basis for the penalty assessment, based on Article 101a(1) of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781, hereinafter referred to as "u.o.d.o.") – to provide information on the income achieved for the year 2021, and was also obliged to provide explanations in the proceedings with reference number DS.523.5569.2021.

In response to the information about the initiation of proceedings by the President of UODO regarding the imposition of an administrative monetary penalty – by letter dated December 6, 2022 – the Company, through its attorney – attorney-at-law D. M. (Law Office of D. M., ul. (...) K.), whose power of attorney from the Company along with the stamp duty payment was submitted to UODO on December 2, 2022 – provided explanations in the matter. The Company thoroughly answered the questions contained in the summonses dated September 14, 2021, and October 15, 2021 (see points 2 - 3 of the justification of this decision), substantiating its position with the documentation attached to this response, i.e., a copy of the notification of a personal data breach dated August 27, 2021, along with a copy of the report on the personal data breach numbered 1/2021, a copy of the incident assessment and a list of actions taken, a copy of the action control card, a copy of the confirmation of sending a registered letter dated August 25, 2021, and an authenticated screenshot from the online tracking of the shipment by Poczta Polska, a printout of the email correspondence conducted with the Complainant dated August 25, 2021, to which was attached a copy of the letter dated August 25, 2021, regarding the violation of personal data protection principles, and a printout of the email message dated August 25, 2021, addressed to the Company's client.

Regarding the violation of Article 58(1)(a) and (e) of Regulation 2016/679, the Company indicated that "[...] by letter dated December 16, 2021, in the case with reference number DS.523.1730.2021, the Personal Data Protection Office ('UODO', 'the Authority') was effectively informed of the change of address for correspondence in accordance with Article 41 §1 of the Act of June 14, 1960, the Code of Administrative Procedure, thus from the date of delivery of the aforementioned correspondence to the Authority, the information regarding directing all correspondence to the Company at the address ul. (...), W. – became binding in accordance with the aforementioned provision." According to the Company, this leads to the conclusion that in the proceedings conducted under reference number

DS.523.5569.2021, the President of UODO, from the moment of obtaining information about the new correspondence address of the Company, i.e., from December 16, 2021, "[...] aware of the implementation of the norm of Article 41 §1 of the Code of Administrative Procedure, [...] did not re-deliver the aforementioned letters to the Company, which prevented my Principal [the Company] from fully cooperating with the Authority in this matter." To prove the above, the Company attached to its response an authenticated copy of the letter dated December 16, 2021, addressed to the President of UODO in the case with reference number DS.523.1730.2021, along with an authenticated confirmation of sending the aforementioned letter via the Electronic Platform for Public Administration Services (so-called "ePUAP"). Furthermore, the Company hereby expressed its full willingness to cooperate with the President of UODO.

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57(1)(a) of Regulation 2016/679, the President of UODO, as the supervisory authority within the meaning of Article 51 of Regulation 2016/679, monitors and enforces the application of this regulation on its territory. As part of its competencies, the President of UODO considers, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant about the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679). To enable the realization of such defined tasks, the President of UODO has a number of powers specified in Article 58(1) of Regulation 2016/679 regarding the conducted proceedings, including the power to order the controller and the processor to provide all information necessary to carry out its tasks (Article 58(1)(a) of Regulation 2016/679) and the power to obtain from the controller and the processor access to all personal data and all information necessary to carry out its tasks (Article 58(1)(e) of Regulation 2016/679).

The President of UODO also has a number of corrective powers specified in Article 58(2) of Regulation 2016/679, including the power to issue a reprimand to the controller or processor in the event of a violation of the provisions of Regulation 2016/679 by processing operations. Acting on the basis of Article 58(2)(b) of Regulation 2016/679, the President of UODO may consider it justified to issue a reprimand to the controller or processor in the event of establishing...

violations of the provisions of Regulation 2016/679, including the provisions of Article 58(1)(a) and (e) of Regulation 2016/679.

A violation of the provisions of Regulation 2016/679, consisting of the failure by the controller or processor to provide access to the data and information mentioned above, resulting in a breach of the rights of the authority specified in Article 58(1), is subject to an administrative fine of up to EUR 20,000,000, or in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

Pursuant to Article 60 of the Personal Data Protection Act (u.o.d.o.), proceedings regarding violations of personal data protection regulations are conducted by the President of the Personal Data Protection Office (UODO). Article 7(1) of the u.o.d.o. states that in matters not regulated by this Act, the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (Dz. U. 2022, item 2000, as amended, hereinafter referred to as "k.p.a.") apply to administrative proceedings before the President of UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the u.o.d.o.). According to Article 7(2) of the u.o.d.o., these proceedings are single-instance proceedings.

Article 44 § 4 of the k.p.a. in conjunction with Article 44 § 1 of the k.p.a. in conjunction with Article 45 of the k.p.a. states that the fiction of delivery occurs upon the expiration of the last day of the period, which is 14 days in the case of delivering a letter to the registered office address of a legal entity by a postal operator, and the letter is left in the case files.

Pursuant to Article 17(1) of the Act of August 20, 1997, on the National Court Register (Dz. U. 2022, item 1683, as amended, hereinafter referred to as "the KRS Act") in conjunction with Article 47 of the KRS Act in conjunction with Article 45 of the k.p.a., it is presumed that the data entered in the register

of entrepreneurs is true, and the entity subject to the obligation to register in the register of entrepreneurs is obliged to report its address and registered office and any changes thereto, regardless of obligations arising from separate provisions, unless the law provides otherwise. Furthermore, the public administration authority delivers letters to organizational units and social organizations at their registered office to the hands of persons authorized to receive letters. Based on Article 41 of the k.p.a., the parties and their representatives and proxies are obliged to notify the public administration authority of any change of their address, and in case of neglecting this obligation, the delivery of a letter to the previous address has legal effect. According to Recital 148 of Regulation 2016/679, in order for the enforcement of the provisions of Regulation 2016/679 to be more effective, sanctions, including administrative fines, should be imposed for its violation—in addition to or instead of appropriate measures imposed under Regulation 2016/679 by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a warning. However, attention should be paid to the nature, gravity, and duration of the violation, whether the violation was not intentional, the actions taken by the controller to minimize the damage, the degree of responsibility, or any relevant previous violations, the manner in which the supervisory authority became aware of the violation, compliance with measures imposed on the controller or processor, adherence to codes of conduct, and any other aggravating or mitigating factors.

Legal Assessment

Relating the above-mentioned legal basis to the established factual state in this case, it should be recognized that the Company, as the controller of the personal data of the Complainant, being a party to the proceedings with reference number DS.523.5569.2021, failed to respond to requests for explanations, thereby violating the obligation to ensure the President of UODO access to personal data and information necessary for the performance of his tasks, which arises from Article 58(1)(a) and (e) of Regulation 2016/679.

The President of UODO twice summoned the Company to provide explanations in the case with reference number DS.523.5569.2021. Both the summons of September 14, 2021, and the summons of October 15, 2021, were not received by the Company, which led to the fiction of delivery of the correspondence, respectively, on October 1, 2021, and November 30, 2021 (see points 2 - 3 of the justification of this decision). This resulted in the necessity to initiate administrative proceedings regarding the imposition of an administrative fine on the Company and consequently led to the submission of comprehensive explanations by the Company in the case with reference number DS.523.5569.2021 and to establishing contact with the President of UODO.

In this matter, it is undisputed that it is the Company's duty to ensure the proper organization of the correspondence flow, and in the event of not informing the President of UODO of the new correspondence address of the Company, the President of UODO is bound by the registered office address listed in the register of entrepreneurs. This follows from the provisions cited above, particularly from the presumption of the truthfulness of the data entered in the register of entrepreneurs. In the opinion of the President of UODO, the justification presented by the Company in the letter of December 6, 2022, for the lack of response to his summons (see point 7 of the justification of this decision) does not constitute a ground for excluding the Company's liability.

It is in the Company's interest to take actions that will lead to the proper redirecting of correspondence; moreover, the Company is responsible for properly organizing the receipt of letters and the flow of correspondence, which should occur in a continuous and uninterrupted manner.

(see Judgment of the Provincial Administrative Court in Warsaw of December 9, 2020, case file VI SA/Wa 1697/20, LEX no. 3162004). In the case with reference DS.523.1730.2021, the Company informed the President of the UODO about the new correspondence address only on December 16, 2021, that is, after the delivery of summonses to provide explanations in the case with reference DS.523.5569.2021, sent on September 14, 2021, and October 15, 2021. This means that the summonses to provide explanations dated September 14, 2021, and October 15, 2021, were directed to the correct address and were delivered by way of fiction of delivery. Meanwhile, the issue raised by the Company regarding the lack of diligence of the authority is not consistent with the factual state of the case. After obtaining information about the Company's new correspondence address, the President of the UODO initiated these proceedings, informing the Company of this fact by letter dated

November 24, 2022, sent to the new correspondence address. In light of Article 45 of the Administrative Procedure Code, the President of the UODO made a proper delivery of the aforementioned summonses, that is, to the registered office address of the Company, which at that time was in accordance with the current extract from the register of entrepreneurs, and moreover was known to him as the only correspondence address of the Company. However, the Company's explanations should be considered credible, as the aforementioned negligence of the Company (see points 7 and 19 of this justification) may have caused the lack of response from the Company to these summonses. In the opinion of the President of the UODO, the above violation was unintentional. Therefore, it should be recognized that with the submission of the Company's explanations to the UODO, that is, on December 12, 2022, the state of violation of the provisions of Regulation 2016/679, which is the subject of these proceedings, ceased (its beginning should be considered as October 9, 2021, that is, the date of the expiry of the deadline for providing explanations set in the summons of September 14, 2021, counted from the moment of the fiction of delivery of this summons). No other circumstances indicating a lack of willingness to cooperate by the Company with the President of the UODO were found. Moreover, after obtaining information about the ongoing proceedings, the Company demonstrated an active attitude, was ready for further cooperation in these proceedings, and also provided financial documents that would facilitate the President of the UODO in estimating any potential administrative monetary penalty. This leads to the conclusion that the lack of receipt and response from the Company to the summonses of the President of the UODO in the proceedings with reference DS.523.5569.2021 was not intentional.

In light of the above, the President of the UODO deemed it justified to issue a reprimand to the Company regarding the established violation of Article 58(1)(a) and (e) of Regulation 2016/679, while also accepting that in light of the criteria specified in Article 83(2) of Regulation 2016/679, it would be effective and sufficient. However, it should be noted that in the event of a similar occurrence in the future, any reprimand issued by the President of the UODO against the Company will be taken into account when assessing the circumstances of any potential imposition of an administrative penalty, in accordance with the principles set out in Article 83(2) of Regulation 2016/679.

In this factual and legal state, the President of the UODO decided as stated in the operative part of this decision.

Instruction

The decision is final. The Party has the right to file a complaint against the decision to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the UODO (address: ul. Stawki 2, 00 – 193 Warsaw). The fee for the complaint is 200 PLN. In the proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the course of the proceedings. The application is free of court fees.

Print article

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